

Merger & Acquisition Due Diligence Report — Project Falcon

1. Transaction Overview

This due diligence report has been prepared by Blackstone Legal Partners LLP on behalf of the acquiring entity in connection with the proposed acquisition of Falcon Software Holdings Ltd. The transaction is valued at approximately 340 million pounds and is subject to regulatory approval from the Competition and Markets Authority. Completion is anticipated in Q1 2025.

2. Corporate Structure Review

Falcon Software Holdings Ltd is incorporated in England and Wales with registered number 05621847. The company operates through four wholly owned subsidiaries across the UK, Ireland, and the Netherlands. Share capital consists of 50 million ordinary shares of 1 pound each, with no preference shares or convertible instruments currently in issue at this time.

3. Employment & HR Liabilities

A total of 847 employees are currently employed across all group entities. Review of employment contracts reveals 23 senior employees holding change of control provisions entitling them to enhanced severance packages totalling an estimated 4.2 million pounds. Three ongoing employment tribunal claims have been identified with a combined maximum liability of 180,000 pounds.

4. Intellectual Property

The company holds 14 registered patents across the UK and EU, with a further 6 applications currently pending. All material software products are protected by copyright and subject to written assignment agreements with all developers. One third party IP dispute is currently active regarding alleged infringement of a competitor patent relating to the core data processing module used.

5. Risk Assessment

Overall risk profile is assessed as medium. Key risks include the pending IP dispute, change of control employment liabilities, and a legacy data breach investigation currently under review by the ICO. We recommend conditional exchange subject to satisfactory resolution of the ICO investigation and an escrow arrangement of 5 million pounds for identified contingent liabilities.